TWFE Event Study of Big 4 Switching

	Switch into Big 4			Switch out of Big 4		
	Any Failure	Restatement	Violation	Any Failure	Restatement	Violation
Event time −5	0.013	-0.007	0.026*	0.00043	0.015	-0.004
	(0.018)	(0.014)	(0.014)	(0.046)	(0.020)	(0.045)
Event time −4	0.005	-0.020	0.024*	-0.001	0.007	-0.019
	(0.019)	(0.014)	(0.013)	(0.048)	(0.032)	(0.036)
Event time −3	-0.008	-0.019	0.008	-0.003	-0.002	-0.007
	(0.014)	(0.014)	(0.007)	(0.037)	(0.025)	(0.025)
Event time −2	-0.012	-0.023**	0.004	0.019	0.020	-0.00002
	(0.011)	(0.011)	(0.006)	(0.025)	(0.024)	(0.023)
Event time −1	0.000	0.000	0.000	0.000	0.000	0.000
	(reference)	(reference)	(reference)	(reference)	(reference)	(reference)
Event time 0	-0.005	-0.015	0.010	0.021	-0.005	0.024
	(0.015)	(0.014)	(0.009)	(0.024)	(0.007)	(0.023)
Event time 1	-0.026	-0.026*	0.002	-0.019	-0.040	0.011
	(0.016)	(0.015)	(0.015)	(0.039)	(0.025)	(0.030)
Event time 2	-0.021	-0.018	-0.006	-0.009	-0.040	0.024
	(0.019)	(0.016)	(0.014)	(0.044)	(0.026)	(0.037)
Event time 3	-0.023	-0.015	-0.011	-0.031	-0.041	-0.002
	(0.021)	(0.017)	(0.015)	(0.042)	(0.026)	(0.034)
Event time 4	-0.031	-0.025	-0.004	-0.021	-0.034	-0.003
	(0.020)	(0.015)	(0.017)	(0.033)	(0.026)	(0.026)
Event time 5	-0.027	-0.023	-0.009	-0.039	-0.040*	-0.016
	(0.018)	(0.014)	(0.013)	(0.034)	(0.023)	(0.030)
Observations	63,674	63,674	63,674	3,205	3,205	3,205
Treated firms	202	202	202	112	112	112
Control firms	4,990	4,990	4,990	189	189	189

Notes: SE clustered by firm. Nine audit-failure controls and mis_dummy. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.